

see that the price spike in late September is the only real competition (for the period shown, anyway).

The tops of the horn's spikes need not peak at the same price, but the pattern looks way cool when they do.

Clear visibility. The two spikes should be well above the three adjacent price bars (before, middle, and after the horn). In an uptrend, if you look to the left, you should have clear visibility. Horn tops in downtrends (often as upward retraces in a downtrend) might find clear visibility to the left of the pattern harder to find. Be flexible for both trend directions. The point is this: You're looking for the horn peaks to stand out in a crowd of price movement.

Table 44.1 Identification Guidelines

Characteristic	Discussion
Appearance	Use the weekly chart and locate two upward price spikes separated by a week. The two spikes should be taller than similar spikes over the prior year and tower above the high of the center week. It should look like a horn.
Clear visibility	The horn highs should be well above the surrounding highs, and the best performing reversals appear at the end of a long uptrend.
Breakout direction	Downward.
Confirmation	The pattern becomes a valid horn top when price closes below the lowest low in the 3-week pattern.